

in economic models and is the point made by Ang and Liu (2007). The next generation of risk management models should embed valuation metrics. When volatility spikes, prices fall. But when prices are low, discount rates tend to be high, and this predicts that returns going forward will be high (see equation (8.4)). We see little direct relation between volatility and future returns (see Table 8.7) because of the hedging terms in equation (8.11) and the fact that the relation between volatility and the risk premium is nonlinear (see also chapter 6). When volatility is high and prices are low, risk is high as measured by high volatility, but these are times of high risk premiums. In terms of valuations, these are times of low risk and opportunities to buy. Of course, one of the main messages from this chapter is that forecasting the risk premium is an inherently difficult exercise.

7. The Lost Decade Redux

The Lost Decade of the 2000s was certainly brutal for stock returns relative to bonds and even T-bills (cash). But over much longer time periods, there has been a considerable equity risk premium relative to bonds and bills. While the equity risk premium is high, equity returns are volatile—and even excessively volatile relative to fundamentals like consumption, dividend, and other macro volatility measures. So low returns over a decade are not unexpected. In fact, it is precisely because equities can perform poorly over extended periods and over bad times in general that equities earn a risk premium. These bad times include periods of low growth, disasters, long-run risks, and high inflation, among other factor risks. I expect the equity premium to be high going forward but over the long run. Over the short run, investors holding equities should steel themselves for the possibility of poor returns. You earn high returns over the long run to compensate for the possibility of poor performance during bad times in the short run.

The equity risk premium is predictable. But theory and empirical evidence suggest that the predictability is hard to detect. Investors should ignore the weak predictability in data and rebalance to constant weights. If they do wish to exploit time-varying risk premiums, then they should be careful to use robust statistical inference, economic models, and restrictions where possible and do it in a framework of good governance structures. The constant rebalancing strategy is naturally countercyclical, and any strategy that takes advantage of mean-reverting risk premiums will use a more aggressive strategy than simply maintaining constant weights.